

to your company. That's why high-deductible plans are enticing to employers.

Should you sign up? For most people, it's difficult to come up with that \$2,000 plus deductible. To help ease the burden if you do choose a high-deductible option, your employer may give you a chunk of money (from several hundred dollars to around \$1,000) every year in an account called a **Health Reimbursement Arrangement (HRA)**. You can draw on that money for a wide range of medical costs. Any funds you don't use will stay there from year to year.

Some employers now offer another type of account, known as a **Health Savings Account (HSA)**. Like an HRA, an HSA provides you with money you can draw on for medical expenses, but with a key difference: With an HSA, you can contribute your own money as well as whatever your employer provides. (As of 2009, the contribution limit was \$3,000 for single people and \$5,950 for families.)

Even if your employer doesn't offer an HRA or an HSA, if you opt for one of the high-deductible health plans that meet the government's requirements you can open an HSA yourself at any bank or credit union and contribute to it every year. HSAs have three tax benefits: Contributions you make are tax-deductible, withdrawals for qualified medical expenses are tax-free, and the interest on these accounts grows tax-free as long as you withdraw the money for a qualified medical expense. You can even tap these accounts for nonmedical purposes, but you'll have to pay taxes and a 10% fee if you do.

Be sure to study all the plans your employer offers. If you unexpectedly get sick, this system may not be a good choice. But if it's the only coverage you can afford (or the only one your job offers), take it.

What to Look For in an Individual Health Policy

If you don't have coverage through a group plan, you'll have to buy insurance on your own. An individual policy is often expensive, but if you